

Harihar Cold Storage v. P.V.V.N.L. & Another

Allahabad High Court · Single Judge · 22 December 2011 · WRIT - C No. 24309 of 2007 · **Writ petition disposed of (minimum-guarantee charges held not recoverable; rural-rate billing directed; set-off refused)**

HEADNOTE

Where a consumer has not committed to pay a fixed sum as minimum-guarantee charges, the licensee can recover such charges only if it ensures the minimum guaranteed supply; if the supply fails for a reason attributable to the licensee (here, a burnt transformer left unrepaired for about five months), no minimum-guarantee charges can be levied (*Raymond Ltd. v. M.P. Electricity Board*). Clause 4.37 of the U.P. Electricity Supply Code, 2005 (minimum-charge billing on temporary disconnection) applies only where the disconnection is due to the consumer's default, not the licensee's; and Clause 7.07 requires restoration within 24 hours / transformer replacement within 15 days. Supply given from a rural feeder cannot be billed at the urban-feeder rate; and a consumer who repairs the transformer himself, without authorisation, cannot set off the cost against his bills (remedy: civil suit).

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.37

Minimum-guarantee charges on temporary disconnection — only for consumer's default

QUESTION

Can minimum-guarantee charges be levied under Clause 4.37 for a period when supply was disconnected because of the licensee's own failure to repair the transformer?

HOLDING

No. Clause 4.37 permits minimum-charge billing on a temporary disconnection only where the disconnection is on account of the consumer's default; here the disconnection was due to a burnt transformer the licensee failed to repair for about five months (breaching Clause 7.07's 24-hour restoration / 15-day replacement norms), so no minimum-guarantee charges lie. Where no fixed minimum sum is committed, minimum-guarantee charges require the licensee to ensure the minimum guaranteed supply. ¶ [the Clause 4.37 / minimum-guarantee discussion \(unnumbered order\)](#)

LIMITING FACTS

Supply remained disconnected 7.1.2006-28.5.2006 due to a burnt transformer; the consumer's bills had in fact been paid in cash (the dishonoured-cheque premise was not denied).

HOLDING-UNIT · UP-2005::tariff-feeder

Rural-feeder supply cannot be billed at urban rate; no self-help set-off

HOLDING

Supply made from a rural feeder cannot be billed at the urban-feeder rate schedule (conceded); the excess is refundable. A consumer who, without authorisation, gets the transformer repaired at his own cost cannot set off that cost against his bills — the remedy is a civil suit. ¶ [unnumbered order](#)

PRINCIPLE TAGS

no-charge-when-supply-fails-by-licensee-fault

Minimum-guarantee (and like) charges cannot be levied for a period in which supply failed for a reason attributable to the licensee; the obligation to pay is tied to the licensee's maintaining the minimum standard of supply. Lead authorities: *Raymond Ltd. v. M.P. Electricity Board* [1865062]. ¶ [unnumbered order](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MINIMUM-GUARANTTEE CHARGES FOR 20.11.2004-8.5.2005

That period (during which s.126 proceedings were on foot) was the subject of a separate writ petition (No. 31333 of 2006) and was not addressed here. ¶ [unnumbered order](#)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Raymond Ltd. & Anr. v. M.P. Electricity Board & Ors.</i> (2001) 1 SCC 534 [1865062] Supreme Court	Where the consumer has not committed to a fixed minimum-guarantee sum, the licensee can enforce minimum-guarantee charges only by ensuring the minimum guaranteed supply; if the licensee fails to supply, the consumer is exonerated from paying minimum-guarantee charges.	Applied to hold minimum-guarantee charges not recoverable where supply failed by the licensee's fault. ¶ unnumbered order	Court	Followed

SCJ-030 · Harihar Cold Storage v. P.V.V.N.L. & Another · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.